



PADMAJA REDDY
CONQUERING RURAL HEARTS WITH MICRO FINANCE



PADMAJA REDDY
Promoter and Managing Director of Keertana Finserv

Padmaja Reddy knows the magic that timely finance can do. A domain expert, she has seen how rural and small entrepreneurs miss out opportunities because they are up against the challenge of liquidity. She took over as the Promoter and Managing Director of Keertana Finserv in April 2022. Prior to that, she served as the Managing Director of Spandana Sphoorty Financial Limited, the second largest MFI in India.
She shared her thoughts answering questions that were posed to her.

WHAT INSPIRED YOU TO START KEERTANA FINSERV?

I established a Micro Finance Institution, Spandana in 1998. It became the second-largest Micro Finance Institution by 2009. We were to go public when the Andhra Pradesh (AP) Government implemented an ordinance, bringing microfinance activities in the state to a standstill. The company's net worth plummeted to a negative 1,400Cr and we went into Corporate Debt Restructuring (CDR). With unwavering determination, perseverance, and passion, we successfully emerged from the CDR process, increasing our Assets under Management eightfold and eventually listing it in 2019.

The Business faced another setback due to the impact of COVID-19. Micro Finance, as a monoline product, proved highly susceptible, experiencing crises every three to four years.

While proud to be one of the pioneers in this emerging industry, there remained a sense of dissatisfaction due to the inability to build a more sustainable and stable business. This fuelled the birth of Keertana Finserv. Here, there is a continuous focus on scaling the business, institutionalizing systems and policies, establishing layers of leadership, and optimizing technology adoption.

TELL US ABOUT THE COMPANY AND ITS PRODUCTS AND SERVICES.

Keertana Finserv Private Limited is now a prominent Non-Banking Financial Institution (NBFI) in South India with an AUM of Rs. 1,200 Cr. It provides a diverse array of financial products such as Micro Enterprise Loans, Business Loans, Gold Loans, Loan Against Property and Housing Loans. Our distinctiveness lies in our dedicated focus on rural areas, particularly in interior and remote regions where financial services are sparse. Operating with a commitment to fairness and ethical conduct, Keertana ensures that its employees are not only skilled professionals but also trained to remain grounded, treating customers with utmost respect and dignity. This approach is pivotal in establishing strong and trustworthy relationships with our clientele.

WHAT WERE THE INITIAL CHALLENGES YOU FACED?

The initial challenges faced by Keertana revolved around the constant need for capital. Since we had just commenced operations in 2022, lacking a substantial vintage posed a unique challenge in gaining the attention of lenders. We navigated through this situation by positioning ourselves as an exceptional case. It is a testament to our commitment and excellent financial performance, Keertana has successfully attracted numerous lenders and funding is no longer a hindrance.

Attracting and on boarding the right talent for employment, remains an ongoing challenge. We are proactively addressing this challenge by providing ample growth opportunities and fostering an employee-friendly environment, ensuring a holistic approach to talent acquisition and retention.

WHAT ARE YOUR FUTURE PLANS FOR KEERTANA FINSERV?

With a diverse product range offering loans ranging from INR 20,000 to INR 20,00,000, Keertana strategically manages the advantages and limitations of each product in its portfolio. Our ambitious plan is to double the branches within the next two years and grow the Assets by five times. This is Keertana's commitment to expanding its market reach and making its services more accessible to a wider audience.

WHAT IS YOUR LEADERSHIP PHILOSOPHY, AND HOW DO YOU ENSURE THAT IT IS REFLECTED THROUGHOUT YOUR ORGANIZATION?

I am a firm believer in excellence, emphasizing that everything we undertake should be executed with exceptional quality. Ethics and high integrity are paramount values in my leadership approach. By embodying these principles and fostering a culture of excellence, I aim to create a work environment where leadership is synonymous with integrity and the relentless pursuit of excellence.

Spoken like a true leader, we say!